

Seeing China's AI Reality

A different path from productivity to business reinvention

What has changed in China since 2024?



Agenda

How the discussion will move from China's AI environment to enterprise action.

1



Part I — What Changed in China?

The AI environment, scale, speed, open source, and Physical AI.

2



Part II — What Changes Inside the Enterprise?

From tool adoption to workflow redesign and context.

3



Part III — What Does It Look Like in Real Business?

Five business cases: Finance, Tax, Proactive Insight, AI Coding, and Manufacturing.

4



Part IV — What Does This Mean for LELI China?

Actions, priorities, and management choices for China.



What Changed in China?

Understanding how China's AI environment has changed since 2024.



This section looks at the scale, speed, structure, and industrial depth of China's AI environment.



China's AI market is no longer the same market

What changed in just two years?



515M

GenAI users in China

Jun 2025



36.5%

Population penetration

Jun 2025



302 → 868

Filed GenAI services

YE 2024 to Apr 2026



RMB 1.2T+

AI core industry scale

2025



30%+

Large manufacturers
applying AI

2025



10B+

Open-model cumulative
downloads

2025



AI is becoming part of China's operating environment.



China also accounted for **54%** of the world's new industrial robot installations in 2024.



2024 to 2026: the slope of change matters

Users, services, enterprises and factories started moving together.

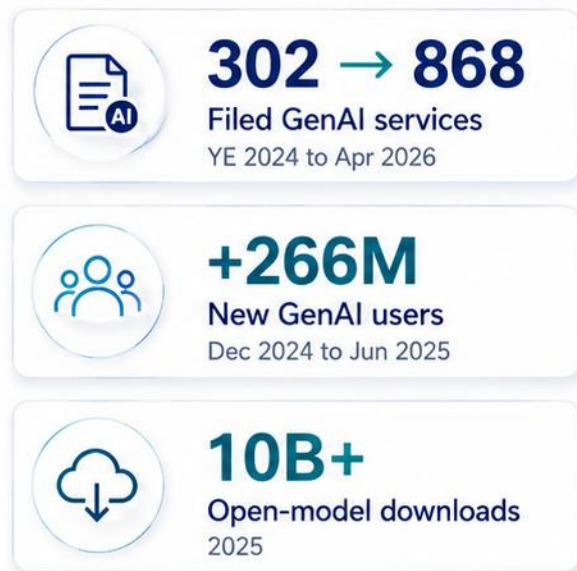


This is not one technology moving.
It is an ecosystem accelerating together.



Velocity: China's edge is shorter learning loops.

The distinctive feature is not simply speed. It is the connection between technology iteration and business experimentation.



What velocity means

- Faster feedback cycles
- Lower experimentation cost
- Quicker move from idea to pilot

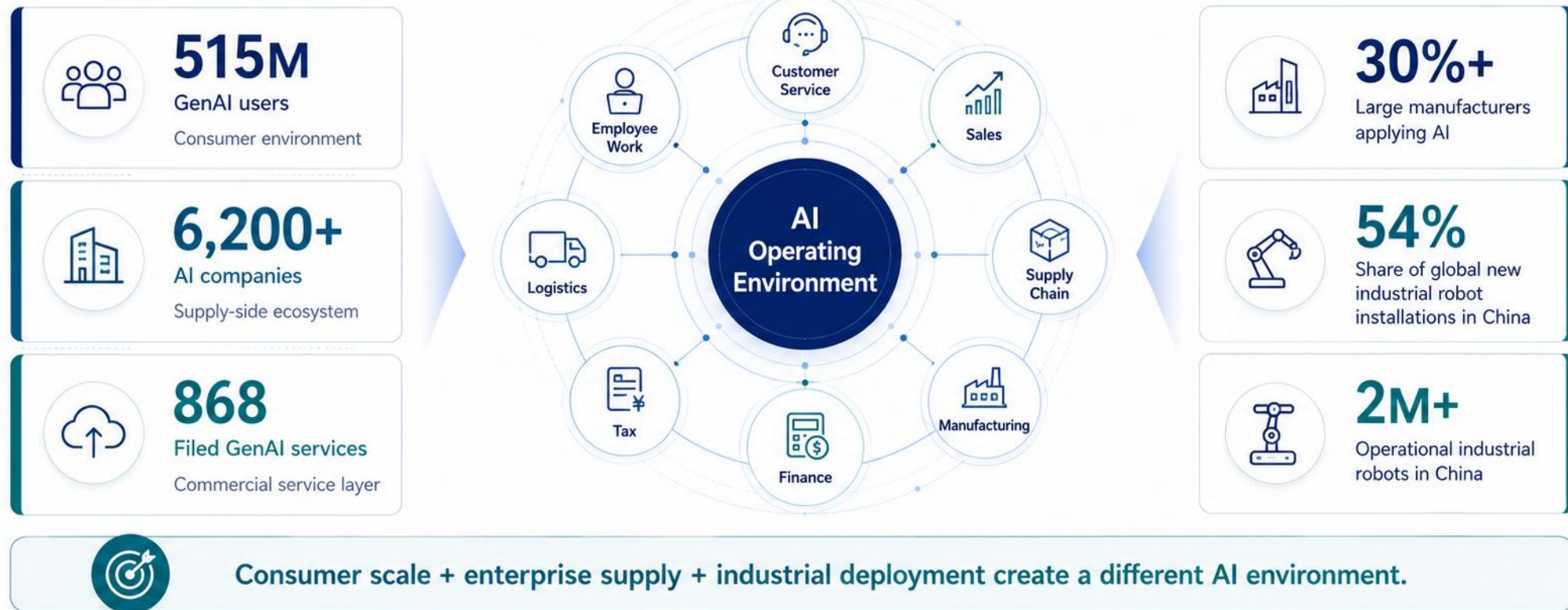


Velocity means shorter business learning cycles, not just faster technology releases.



Scale & Embeddedness: AI is moving into the operating environment

In China, AI is no longer just an additional software tool.



Open Source Changed the Economics of AI Adoption

Open models lowered the cost of experimentation and accelerated enterprise AI adoption in China.

Signal numbers



10B+

China open-model
downloads

MIIT / official disclosure



41%

Share of Hugging Face
downloads from
Chinese models

Hugging Face / 2026

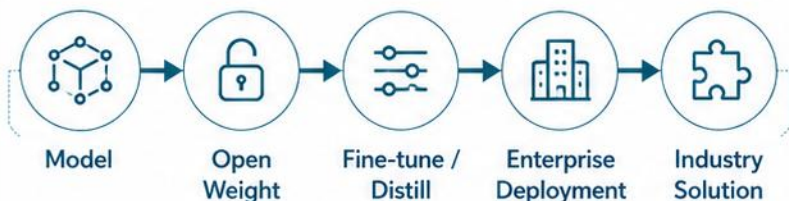


2.06B

Qwen cumulative
downloads

Hugging Face / mid-2026

How open source changes adoption



Lower trial cost



Faster iteration



More deployment
choices

Companies no longer need to wait for a perfect enterprise AI platform before experimenting. Open models make prototyping, adaptation, and local deployment much easier.

Business implications



Experimentation
becomes cheaper



Model choice
becomes broader



Local deployment
becomes more practical



Adoption shifts from
platform waiting to
business testing

Examples

Qwen

DeepSeek

distillation

industry fine-tuning



Open models dramatically lowered the cost of experimentation.



China's Agent Adoption Has Moved Beyond the Concept Stage

The frontier is shifting from chatbots to workflow execution, though most companies are still early in the journey.

Adoption snapshot

60%

Still in understanding, evaluation, or pilot stage

IDC China enterprise survey

18%

Already integrating agents into core business workflows

IDC China / 2026



Most of the market is early-stage, but the leading edge has moved into real process integration.

From concept to execution



Chatbot



Copilot



Agent



Workflow



Core Business



Experimentation



Workflow Integration



Core Business

The frontier

What changes when agents mature



Tasks become multi-step



Systems become connected



Agents can retrieve and act



Management gets faster feedback



Workflow design becomes a leadership issue

Finance

Tax

Customer service

Internal IT

“ The frontier has already moved from chatbot to workflow execution. ”



For Manufacturing, China Has Another Layer: Physical AI

China's AI story is increasingly connected to the physical operating system of manufacturing.

Industrial signals



295,000

New industrial robots installed in China in 2024



54%

Share of global new robot installations



2M+

Operational industrial robot stock

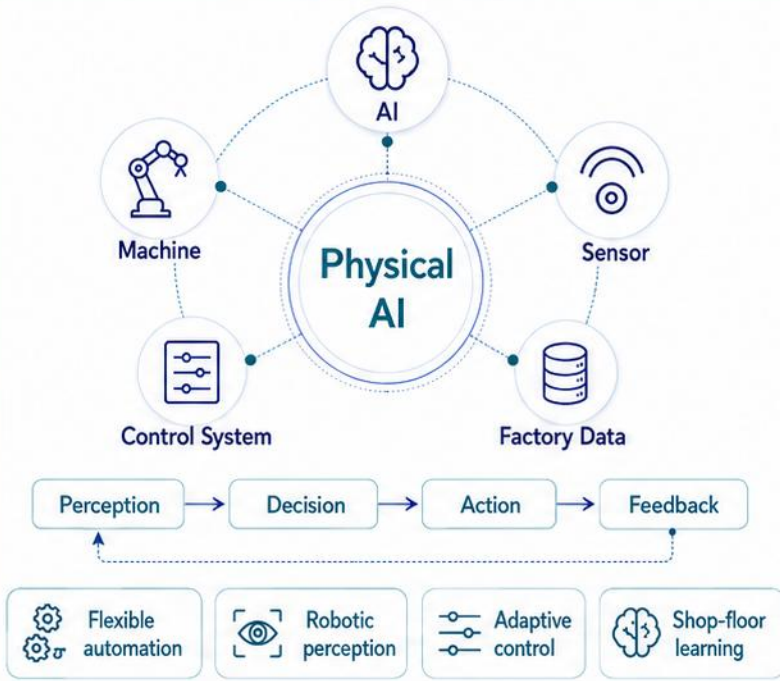


567

Robots per 10,000 manufacturing workers

IFR / manufacturing robotics statistics

What Physical AI combines



Why it matters

-  Moves AI beyond chat and dashboards
 -  Connects digital intelligence with physical work
 -  Makes China a large real-world testbed
 -  Accelerates iteration through factory deployment
 -  Strengthens the link between AI and manufacturing competitiveness
-  China is not only an AI market. It is also a large-scale industrial experimentation environment.



China's AI story is not only about chatbots. It is increasingly connected to the physical operating system of manufacturing.



What Changes Inside the Enterprise?

From tool adoption to workflow redesign, context, and business reinvention.

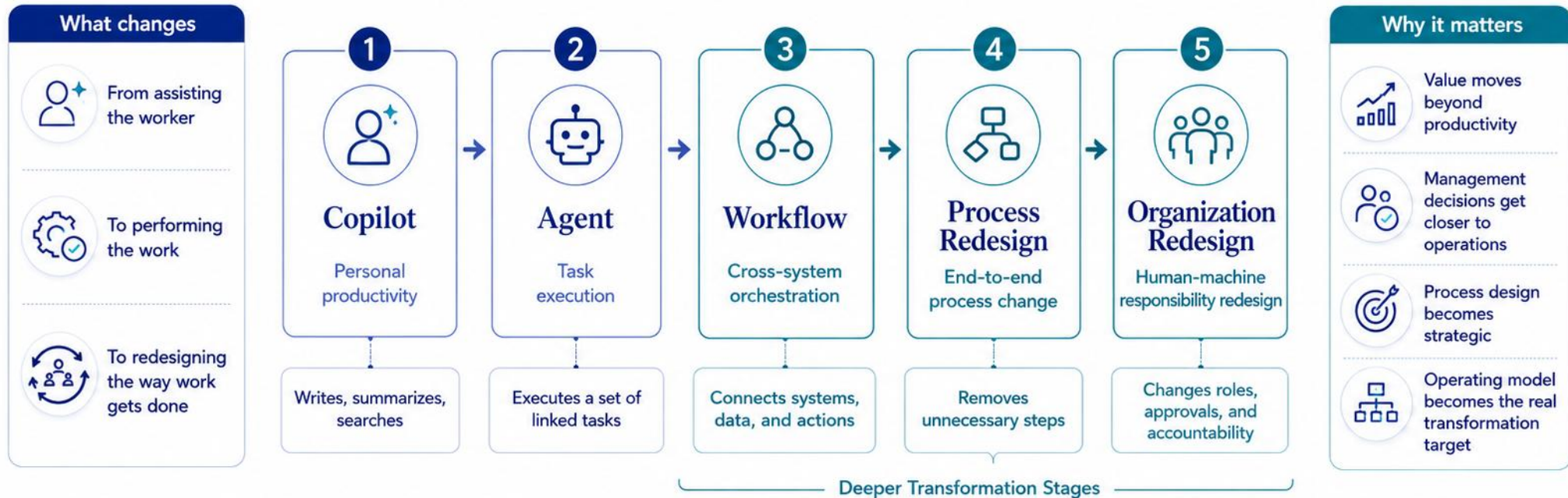


The next question is no longer what AI can do, but what it changes inside the enterprise.



From Tool Adoption to Business Reinvention

The real AI transformation starts when the workflow changes.



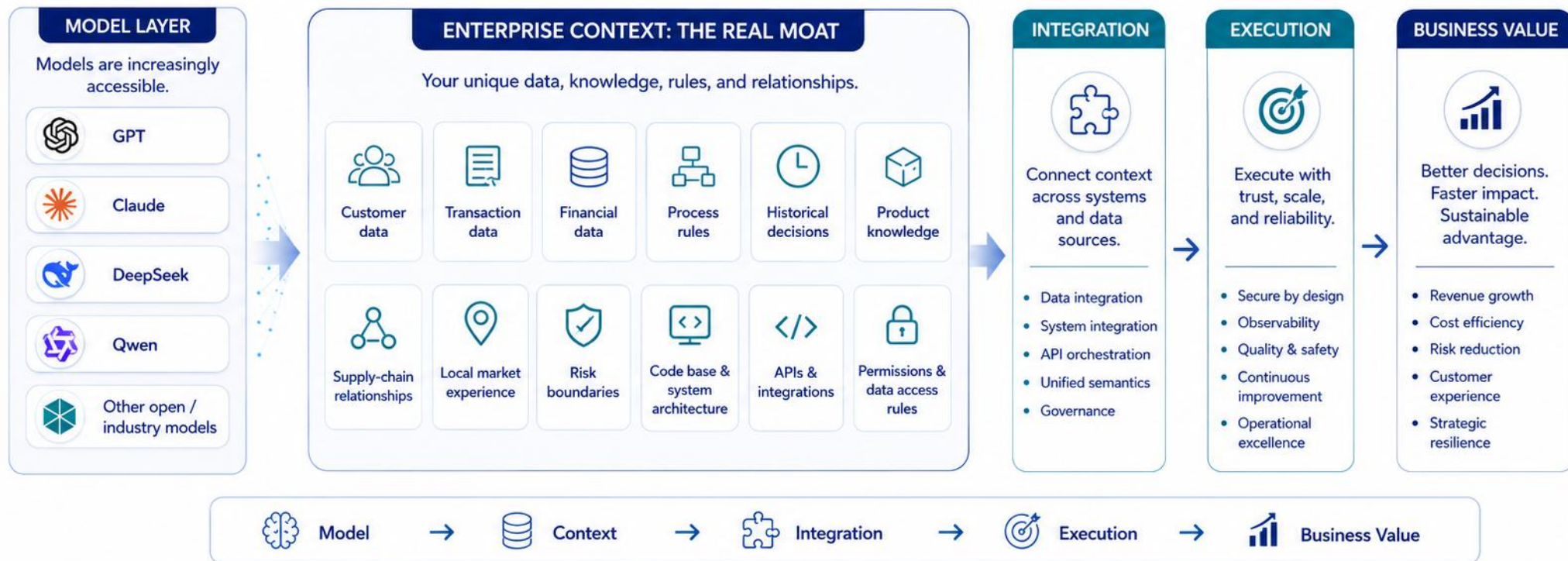
AI is moving from tools into workflows, processes, and organizational design.

The real AI transformation starts when the workflow changes.



Core Foundation: Context

Models may become widely available. Context, integration, and execution determine the real advantage.



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What Does It Look Like in Real Business?

Turning abstract capabilities into concrete business impact.

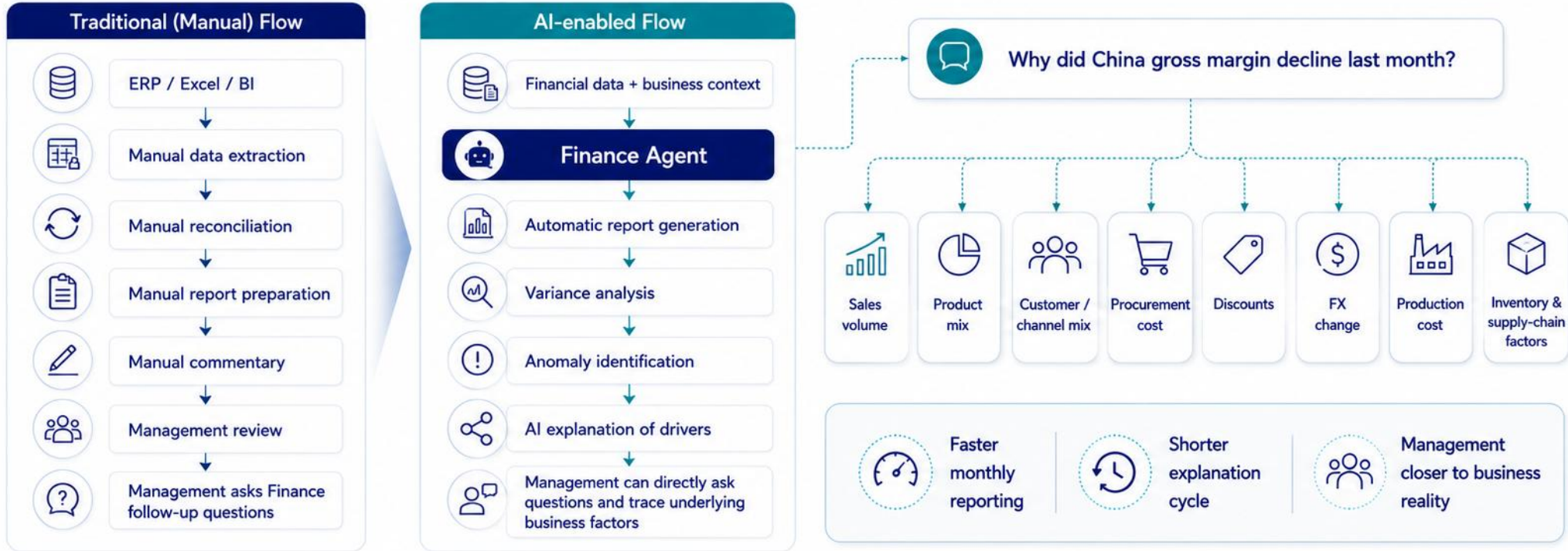


This section moves from framework to real business cases across finance, tax, coding, and manufacturing.



Business Case 1: Finance Reporting Agent

From producing reports to helping management understand business changes faster.

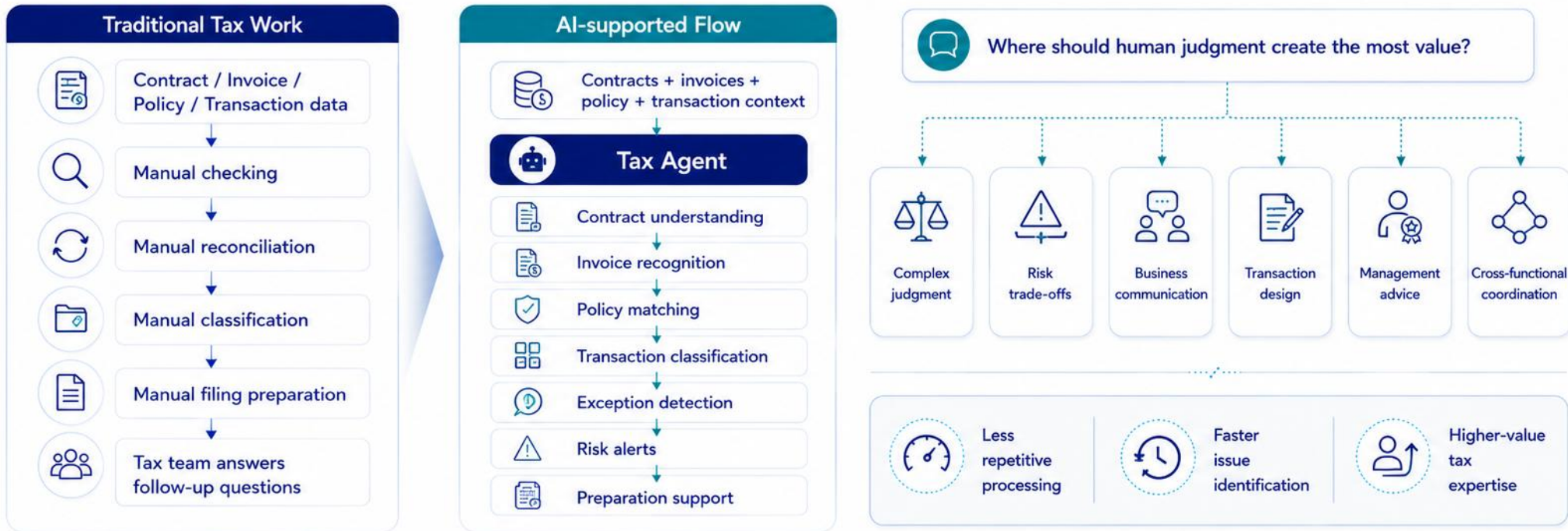


The value is not only faster reporting. It is bringing management closer to the business reality.



Business Case 2: Tax Agent

From tax processing to risk identification, expert judgment, and business support.

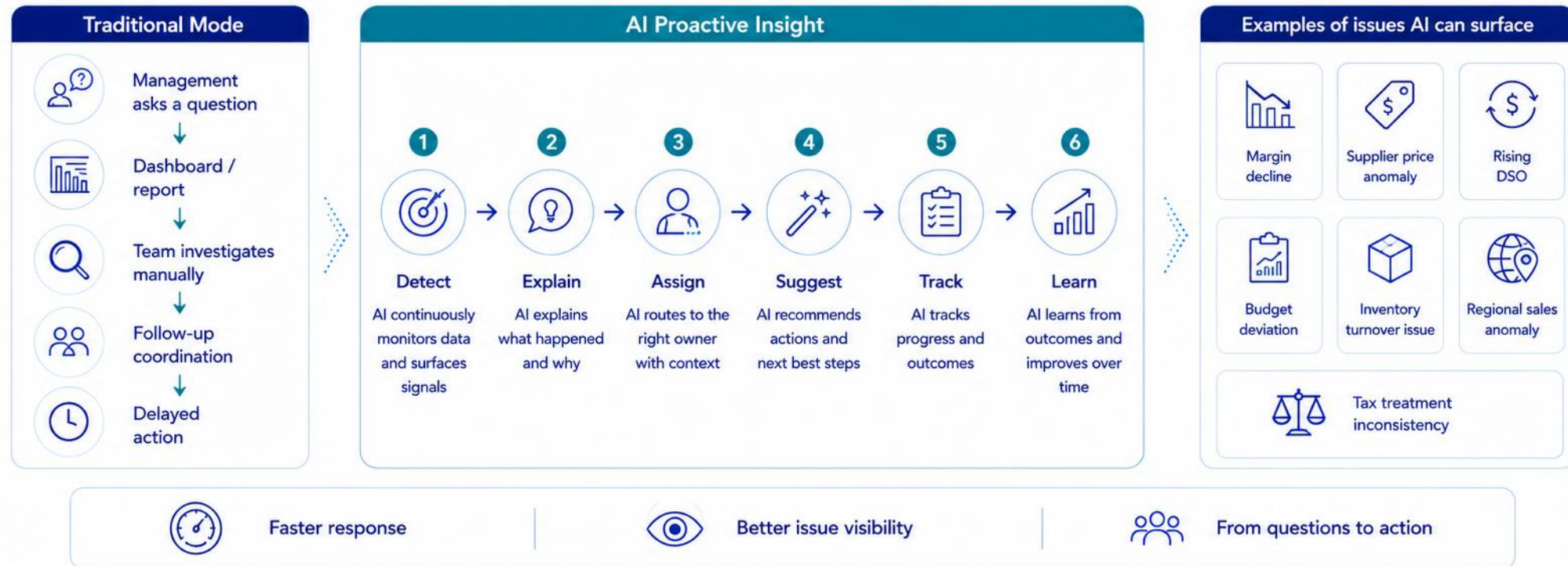


AI does not replace tax expertise. It changes where tax expertise creates value.



Business Case 3: From Reporting to Proactive Insight

AI moves from answering questions to identifying issues, explaining causes, and supporting action.

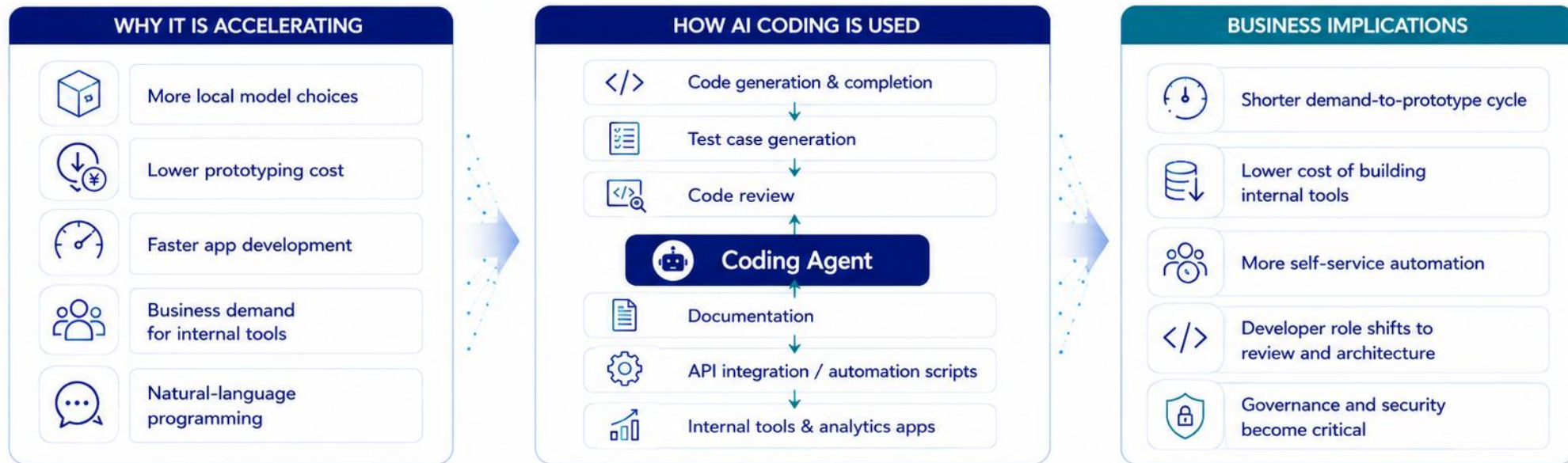


AI moves from answering questions to finding problems and supporting action.



Business Case 4: AI Coding in China

From code assistance to faster internal applications and business automation.



43%+ of Baidu's new daily code is AI-generated



10M+ developers / 10,000+ enterprises served

Note: Public / vendor-reported figures.

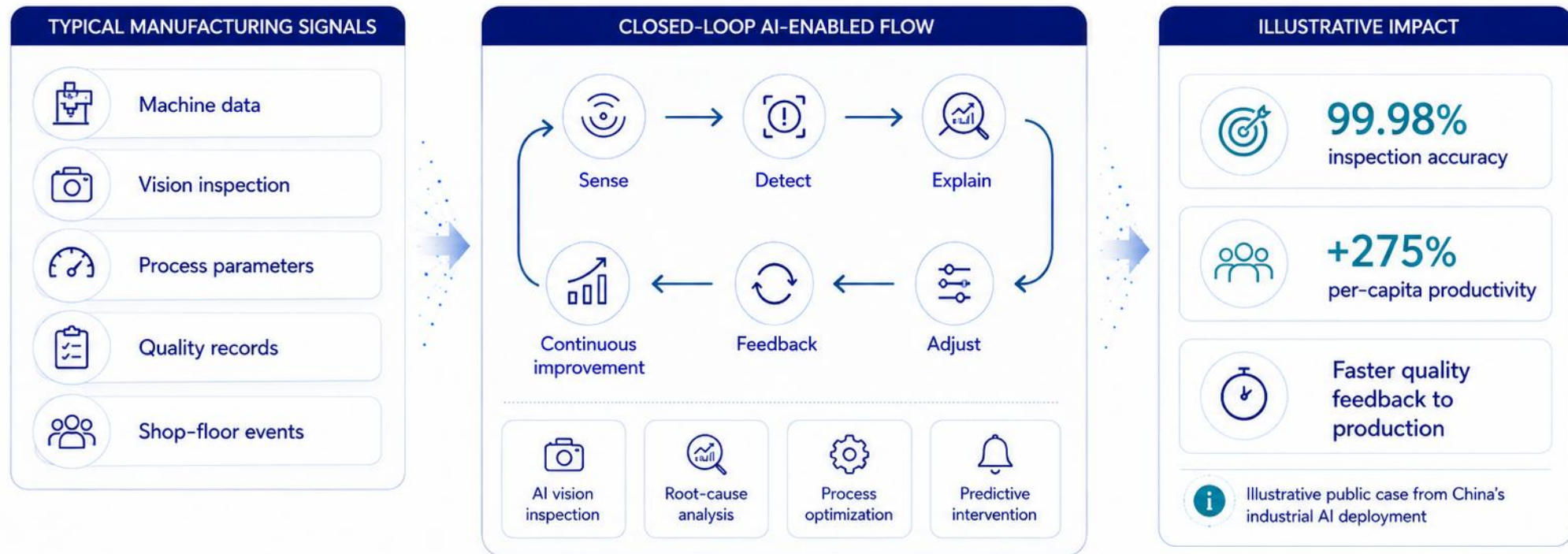


AI coding is lowering the cost of turning business needs into working applications.



Business Case 5: AI in Manufacturing

From detecting problems to creating a closed loop between sensing, decision, and production improvement.



The next step is not only better inspection. It is closing the loop between detection, decision, and production.



What Does This Mean for LELI China?

Turning China's AI reality into management choices and action.

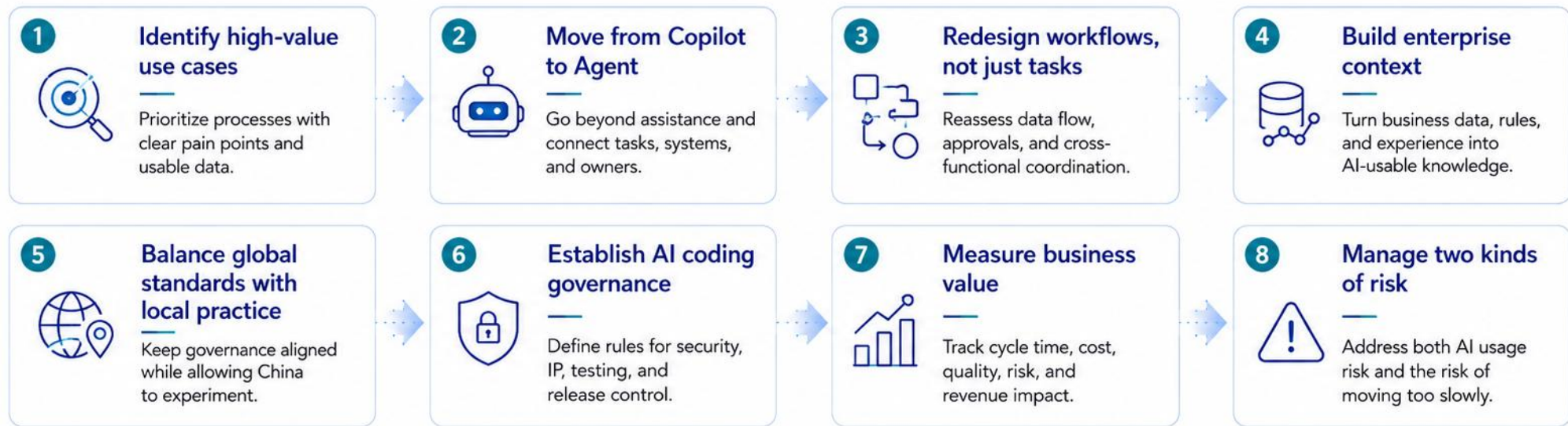


The focus now shifts from understanding AI to choosing where LELI China should move first.



Enterprise Action: From Tool Trial to Business Redesign

A practical path for moving from scattered AI use cases to measurable business transformation.



Suggested pilot metrics



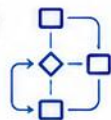
The goal is not more AI tools. It is redesigning how value is created, governed, and scaled.



Three Questions for LELI China

Turning AI discussion into priority-setting for the China business.

1



Where should China redesign workflows rather than simply add another tool?



Which processes are still manual?



Where are decisions slowed by fragmented data?



Which approval steps may no longer be necessary?

2



How should LELI combine global standards with China speed and market reality?



What must stay globally governed?



Where should local experimentation be allowed?



How can risk control coexist with faster iteration?

3



Which areas should LELI China explore first?



Finance and Tax



Sales and Customer Service



Supply Chain and Manufacturing



AI Coding and Internal Tools

Possible follow-up questions



What can China pilot first?



What can later scale globally?



What data should be prepared first?



How will success be measured?



The most important next step is not to discuss AI in general. It is to choose where LELI China should move first.



Three Key Judgments

What Thomas should take away from this discussion about China's AI reality.

1

China is not simply following a global AI playbook. It is developing its own path of adoption.



The environment is shaped by open models, rapid experimentation, manufacturing depth, and business integration.

2

China's distinctive feature is the combination of speed, scale, market integration, and business experimentation.



What matters is not only model capability, but the shorter loop from technology to real business use.

3

AI is moving from productivity tools into workflows, decisions, software development, and organizational design.



The real management question is no longer whether AI can help. It is what should change inside the enterprise.



Productivity



Workflow



Reinvention



The next question is not whether AI will change the business. It is how deliberately, measurably, and how quickly we choose to shape that change.



The Management Challenge Ahead

Balancing global governance, China speed, and enterprise redesign.



The challenge is not only to adopt AI. It is to redesign the business deliberately while managing both action risk and inaction risk.

Discussion / Q&A

